

the concern comes to the fore when you get to learn that close to 60% of online sales are happening in relatively smaller cities.

In addition to these issues, there are also regulatory and taxation barriers that restrict e-commerce from growing. The concept of mobile payment is also at a nascent stage. Add to these impediments the high costs involved in customer acquisition and the fact that most market players are in the investment mode. Hardly a few have turned profitable. Investors are largely in a wait-and-watch mode.

Although in the light of these facts, the impressive market statistics discussed above create a contrast, there are definitely a number of concerns for the industry, which majorly revolve around travel ticket bookings.



When it comes to purchase of goods, the percentage is still relatively low. The reluctance of the Indian buyer is clearly visible with this. We as a nation wish to touch and feel a product before owning it. And that's not possible electronically. Interestingly to compensate for this, e-tailers are offering enticing deals and discounts. And the results are showing.

The road ahead

According to a report, titled, 'E-commerce: A boon for the current economic downturn' compiled by First Data Corporation, if the market trends are to be believed, the domestic e-commerce market has the potential to grow between \$125 billion and \$260 billion by 2024-2025. The report even talks about the fact that urban dwellers are now confident enough to make online purchases of up to Rs 25,000 up from the Rs 2,000-5,000 purchases in the recent past.

With this, it yet again seems only natural that the industry should flourish. India is a young country with more than half the country's population under the age of 25. The country is also getting richer and just in case the 'black money' stashed abroad, if at all, comes back, the surge in cash flow would consequentially push the economy to further thrive. Our income per capita has only grown and as per the International